(iv) 75% of the annual income of the Fund will be used to finance selected social sector schemes, which promote education, health and employment. The residual 25% of the annual income of the Fund will be used to meet the capital investment requirements of profitable and revivable PSUs that yield adequate returns, in order to enlarge their capital base to finance expansion/diversification.

2. **Using the Proceeds Itself:** In view of the difficult economic situation caused by the global slowdown of 2008-09 and a severe drought that was likely to adversely affect the 11th Plan performance, the GoI, in November 2009, decided to give a *one-time exemption* to utilisation of proceeds from disinvestment for a period of three years from April 2009 to March 2012, i.e. disinvestment proceeds during this period would be available **in full** *(the proceeds itself and not the income accruing from the NIF!)* for meeting the capital expenditure requirements of selected social sector programmes decided by the Planning Commission/Department of Expenditure. Now as the Country is facing very difficult economic conditions due to continued financial/economic problems in Europe, impacting the economic growth in India, higher subsidy burden relating to petroleum, food and fertilizers, high interest rate impacting the manufacturing sector, affecting excise collection, falling revenue collection, ***the exemption cited above has been extended upto March 2013***[51]**.**

Accordingly, from April 2009, the disinvestment proceeds are being routed through NIF to be used in full for funding capital expenditure under the social sector programmes of the GoI, namely:

(i) Mahatma Gandhi National Rural Employment Guarantee Scheme
(ii) Indira Awas Yojana
(iii) Rajiv Gandhi Gramin Vidyutikaran Yojana
(iv) Jawaharlal Nehru National Urban Renewal Mission
(v) Accelerated Irrigation Benefits Programme
(vi) Accelerated Power Development Reform Programme